

Economics

BCA — Semester 2 — — Answer Sheet

Subject Code:

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Group B

1. Define elasticity of supply. What are the various types of elasticity of supply? Explain with diagrams.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Define production function. Discuss the various features of the Cobb-Douglas production function.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. What is a perfect competition market? How the price and output are determined under it in the short run?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. What are the features of a mixed economy?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Explain the concept of scarcity and choice in the decision-making process.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Consider the following demand schedule.

Combination	A	B	C	D	E
Income (Rs)	0	24	68	102	148
Demand (Units)	200	160	120	80	40

i) Compute the income elasticity of demand at movement from B to C and C to B by the proportional method. ii) Compute the income elasticity of demand midway between B and C and C and B.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Define price consumption curve (PCC). Derive the price consumption curve for Giffen goods with the help of indifference curve approach.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Consider the following cost schedule:

Output	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
TVC	0	5	12	20	30	40	50	60	70	80	90	100	110	120	130	140	150	160	170	180	190

a) At $TFC=120$, compute TC, AFC, AVC, and ATC. b) Draw the graph of AFC, AVC, and ATC.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Explain the various properties of the indifference curve.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Show the relationship between AR and MR under the monopoly market with the help of a table and figure.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

11. Differentiate between expansionary fiscal policy and contractionary fiscal policy.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. From the following data, calculate the national income:

Particulars	Rs. in million
Gross fixed capital formation	300
Private final consumption expenditure	900
Net Export	-50
Subsidies	50
Government final consumption expenditure	150
Indirect taxes	250
Change in stock	50
Consumption of fixed capital	50
Net factor income from abroad	50

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.